



PURCHASE OF EQUIPMENT & OFFICE SUPPLIES

POLICY 4-9

As Amended

PURPOSE: To establish guidelines and procedures on purchase of equipment, materials, supplies and services.

POLICIES:

1. A purchase/Job Requisition Slip (PJRS) should be prepared for all procurements and/or outside jobs needed by the cooperative.
2. The Purchase/Job Requisition Slip (PJRS) should indicate the generic description of the item/s to be purchased, the technical/job specifications, and other relevant information (e.g. steel grade, tensil strength, galva coating, ASTM, IAC standard, and others). The schedule of implementation and the PERT-CPM should form part of the Purchase/Job Requisition Slip (JPRS).
3. The Purchase/Requisition Slip (PJRS) of an item/s requested for purchase and/or outside jobs that are already included in the approved annual cash operating budget may be presented to the Board of Directors for their information.

A certification that the item/s and/or outside job/s requested that are within the approved annual cash operating budget should be issued by the appropriate office.

4. The Purchase/Job Requisition Slip (PJRS) of an item/s requested for purchase and/or outside jobs that are not included in the approved annual cash operating budget and whose aggregate amount per requisition is more than ONE HUNDRED THOUSAND P100,000.00 pesos shall need the approval of the Board of Directors who shall endorse the request to the PBAC or the General Manager for implementation.

The requisitioning office/department should submit a written request for realignment of funds or supplemental budget, as the case may be. For a supplemental budget, the source of the fund or additional revenue should also be indicated.

5. In all instances, a certification as to the source and availability of funds should be issued by the appropriate office.
6. All procurements having an aggregate amount of FIVE HUNDRED THOUSAND (P500,000.00) PESOS and ABOVE based on the estimated cost per Purchase/Job Requisition Slip (PJRS) shall be done through PUBLIC SEALED BIDDING by the Pre-Bid and Awards Committee (PBAC).
7. All procurements having an aggregate amount of BELOW five hundred thousand (P500,000.00) pesos shall be done through SEALED or OPEN CANVASS from at least three (3) qualified suppliers. Management may



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decide to conduct sealed and public bidding for purchases less than P500,000.00

8. Approval and award for the Purchase Order (P.O.) shall be the responsibility of the General Manager.
9. All check payments shall be crossed check and be made payable only to the supplier.
10. The Board Treasurer, the Board President and the General Manager shall be the signatories to the checks for all capital expenditures amounting to ONE HUNDRED THOUSAND (P100,000.00) pesos and above.
11. This policy should be in accordance with the existing BENECO manual of procedures.

IMPLEMENTATION: The General Manager shall be responsible for the implementation of this policy.

EFFECTIVITY: This Policy shall take effect immediately upon its approval.

REPEALING CLAUSE: All existing policies, rules and regulations promulgated earlier that are found to inconsistent or in conflict with any of the provisions of this policy shall be deemed repealed, modified and/or amended accordingly.

(SGD) **RIMANDO A. ANGITAY**
President

(SGD) **NORMA T. PARADO**
Secretary

APPROVED pursuant to Resolution Nos. 51 dated May 13, 2005

Amending *Rev + 80-2012* *Ad 6-8-03*
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